

IMAG/NARY

Imaginary Venture Capital Partners II, L.P.

Q2 2025

A Note from Team Imaginary

You have heard a lot of detail from us recently about our portfolio and our strategy, given that we are just a few months removed from our AGM and are currently completing our fundraise for Imaginary IV. Given the level of granularity you have all been exposed to over the last few months, we thought it an opportune time to use this letter to zoom out and discuss the purpose that drives our daily work at IMAGINARY.

We often repeat a line internally – as we do in conversation with our Limited Partners – that our mission is to invest in category-defining consumer businesses. Our daily ambition is for our investments to give you, our LPs, access to the very best in consumer. With the launch of IMAGINARY Labs, the scope of that mission extended beyond the investment in – and into the creation and building of – iconic consumer brands. But implicit in the work we do, especially as it relates to creation and building, is one other equally important mission that each of us holds extremely dearly: the creation and building of a category-defining investment business, IMAGINARY itself.

From our earliest days as emerging managers investing out of IMAGINARY I, we have aspired to build an enduring company: a small team of true believers and brand obsessives dedicated to finding and backing the best consumer companies across stages and categories. We continue to believe that our focus and shared specialty is part of our competitive advantage.

One of our mottoes here is “all the best brands start out IMAGINARY.” To us this phrase has always carried a double meaning, reminding us of our own dual purpose as members of the IMAGINARY team. On the one hand it is a nod to the concept that even the most impactful brands were at one point just an idea on paper - or even just a dream. Everything iconic is at first imaginary. But on the other hand, it’s also a subtle nod to the ambition that sits at the core of IMAGINARY itself. It represents our own dream that IMAGINARY the organization will grow into a brand that represents the best in consumer investing. That an investment from IMAGINARY brings with it not just capital and expertise, but also a mark of approval and validation carrying its own inherent significance. This is the dream that we ourselves are working towards: that in addition to starting out imaginary, all the best brands also start out IMAGINARY.

To us, the IMAGINARY brand represents several attributes. It represents a deep specialization in and passion for the modern consumer, culminating in a tightly-focused domain expertise across omnichannel brands. It represents a fundamental integration of the team within consumer culture itself; our work is about more than just investing in consumer businesses, it’s about identifying consumer brands that fundamentally tap into and even reshape the culture. Our brand represents access to the best opportunities across consumer categories and stages, whether via investment or incubation. It represents a unique touch with founders and management teams, coming from a place of empathy, category expertise, hustle, passion, and respect. And it represents, at the end of the day, a reputation for thinking a little bit differently, a little bit more specifically, a little bit more imaginatively, about what great consumer investing means.

There is a trope, a meme even, about venture capital slowing down in the summer. For IMAGINARY though, this summer has been one of the most important company-building periods since our inception. In May you joined us for our AGM, where we walked you through our evolution as investors during our ~10 years in business. We shared a look ahead at the consumer themes that are keeping us excited, and we gave an update on our plans for the future of our company. We feel immense pride and gratitude for getting to spend such high-quality time together at our AGMs. We always walk away excited to get back to doing the work we love to do.

Even since that meeting, the world has continued to change, with new areas of opportunity and challenge becoming more clear. To start, the dust has begun to settle with regards to certain markets’ tariff realities. We are inching forward on what will be a long journey toward modifications of international supply chains. We are already seeing companies evolve their product pipelines in

A Note from Team Imaginary (cont.)

in response to these new realities. We also are seeing Founders more aggressively think about their global expansion, even at an earlier stage, understanding the long-term value in geographic consumer diversification. Luxury, for the largest and most institutional legacy players, remains challenging. We feel that this will continue to create opportunities for younger brands like Danielle Frankel and The Row, who are taking market share at a moment when the luxury shopper appears disenfranchised by the “massification” and over distribution of their larger peers / incumbents. And finally, the domestic topics that we have discussed around health and GLP-1s are quickly traveling abroad. We think there is room over the next 12 months for us to strategically take advantage of this. As you all know, earlier this year we launched the fundraise for IMAGINARY IV, a fund we are proud to have reached and are even prouder of the reception to. The macro climate is not lost on us, and we realize that the bar for additional capital into privates is exceptionally high. We are humbled, honored, and, if possible, even more determined of – and confident in – our future successes. We view this fund as an important milestone and we are indebted to all of you for your continued belief in – and support of – IMAGINARY.

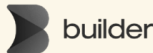
This summer we have also been working on expanding the team. When many of you met us during IMAGINARY I, we were a team of five working out of a Broadway walk-up. Since then we have grown to a team of 12 in a new office with enough space to support our own growth and host guests from our portfolio and network. In the last several weeks, we have made offers to two new investment team members: an analyst who will join us from investment banking after the summer and a Vice President who will join us from consumer private equity at the beginning of Fund IV. We are excited about the experience, enthusiasm, work style, and unique perspective that each of our new team members will bring to IMAGINARY.

It's been over eight years of hard work since we launched the firm with the intention to do consumer brand investing differently than any of the firms that came before us. We are proud of the brand that we ourselves have built in our own category in that time, and we are grateful to the founders that our brand has afforded us the chance to partner with. And we are excited for the progress we will make in the years to come. We still feel extremely early in our journey.

Please see below for comprehensive updates across the portfolio. As always we are available anytime.

Priority Company Updates

The companies below are likely to drive meaningful DPI in the fund.

Company	Overview		Initial Investment Date	% Ownership
	10BEAUTY is a technology company whose mission is to bring the beauty services industry into the home.		February 2021	13%
	Cash Runway 3 quarters	Profitability Profile Not Profitable	ARR Scale Pre-Revenue	YoY % ARR Growth N/A
Board Seat Kelly Dill	Q2 2025 Updates 10BEAUTY witnessed a pivotal Q2. In terms of production, their launch machines were successfully manufactured and landed in Boston. 10Beauty completed successful live demonstrations with Ulta and Nordstrom ahead of launch in September, increasing the excitement and engagement from their two retail launch customers. Ulta’s CEO even got to experience it and raved about it. The team closed \$7M in funding and acquired Clockwork, cementing its position as the leader in autonomous manicures. A Series B is planned for this fall to extend runway beyond April 2026. 10Beauty is on track to launch in September and is targeting \$100M ARR within 18 months of launch.			
Other Investors  				
Company	Overview		Initial Investment Date	% Ownership
	BUILDER is a codeless, drag-and-drop editor & headless content management system for websites.		July 2021	5%
	Cash Runway 4+ quarters	Profitability Profile Not Profitable	ARR Scale \$10M - \$49M	YoY % ARR Growth +70% (Q2)
Board Seat N/A	Q2 2025 Updates BUILDER delivered an impressive Q2, with ARR growing 70% year over year and growing 60% quarter over quarter, driven by moving upmarket and strong enterprise expansion. The team landed major deals with Dr. Pepper, Deloitte, Anheuser-Busch, and Paperless Post. On the product front, Builder launched Fusion at the end of Q2. This is Builder’s new genAI design-to-code platform that bridges the gap in enterprise-grade tooling - enabling workflows without developer support. The team also onboarded a new VP of Customer Experience, who has already overhauled their post-sales engagement model to drive retention, growth, and efficiency.			
Other Investors  				
Company	Overview		Initial Investment Date	% Ownership
	MILÀ is an Asian-inspired food brand preserving traditional recipes with a contemporary twist.		January 2022	13%
	Cash Runway 4+ quarters	Profitability Profile Approaching Breakeven	Revenue Scale \$50M - \$99M	YoY % Revenue Growth -18% (Q2)
Board Seat Logan Langberg	Q2 2025 Updates MILÀ faced a reset in Q2, with revenue down 18% year over year and below budget. Given the strong performance in retail (+71% YoY) and the push towards profitability, the company made the decision to deprioritize DTC and reduce unprofitable marketing spend (-50% year over year in Q2). To support this transition, Milà onboarded a retail-experienced executive team led by a new CEO who ran sales for Rao’s. While FY2025 will of course be impacted due to the strategic DTC pullback, Milà sees a clear path to Q4 profitability as they have made progress reducing burn while over indexing to retail. We were highly supportive of this choice as we see profitability as the KPI that strategics will most focus on when we lean into an acquisition.			
Other Investors 				

Priority Company Updates (cont.)

Company	Overview		Initial Investment Date	% Ownership
 Pepper	PEPPER is a digital infrastructure that powers the historically fragmented foodservice supply chain.		November 2020	10%
	Cash Runway 4+ quarters	Profitability Profile Not Profitable	ARR Scale \$10M - \$49M	YoY % ARR Growth +142% (Q2)
Board Observer Logan Langberg	Q2 2025 Updates PEPPER recorded an impressive Q2, with ARR up 142% year over year and on budget – marking the second consecutive quarter with \$2M+ in new ARR. The company maintained ~100% logo retention and hit its highest-ever monthly bookings in April. This quarter, Pepper signed its largest Payments deal to date with FreshEdge, with Payments TPV now forecasted to surpass \$1B by year-end. Operational efficiency improved as well, with a burn multiple below 2.0x and tracking toward sub-1.5x. With record growth across customers and products, Pepper expects to exceed its FY2025 plan and will launch a fundraise this fall to fuel growth and extend runway.			
Other Investors ICONIQ 				

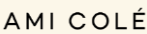
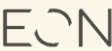
Company	Overview		Initial Investment Date	% Ownership
 SKIMS	SKIMS is a groundbreaking shapewear and loungewear brand co-founded Kim Kardashian.		March 2020	3%
	Cash Runway 4+ quarters	Profitability Profile Profitable	Revenue Scale \$1B+	YoY % Revenue Growth TBC
Board Seat Nick Brown	Q2 2025 Updates Due to timing of the SKIMS Q2 BoD meeting in late August, revenue figures will be shared then, but there are notable brand updates to report. SKIMS’ Los Angeles flagship opened in April, joining a fleet of industry-leading productivity stores. Amid ongoing tariff and macro pressures, the team remains focused on its highly-anticipated H2 NikeSKIMS launch, in addition to continuing to drive topline through the brand’s highest growth contributing channels – physical retail and international. The team is also investing in gross margin to maintain & grow share and driving operating expense productivity to preserve EBITDA for the remainder of the year.			
Other Investors   WELLINGTON MANAGEMENT®				

Company	Overview		Initial Investment Date	% Ownership
 SUNDAYS	SUNDAYS is a modern dog food brand with an air-dried, human-grade product.		June 2021	13%
	Cash Runway 4+ quarters	Profitability Profile Approaching Breakeven	Revenue Scale \$100M - \$499M	YoY % Revenue Growth +62% (Q2)
Board Seat Logan Langberg	Q2 2025 Updates SUNDAYS delivered a strong Q2, with revenue up 62% YoY, coming in largely on budget for the quarter. This quarter marked a shift toward stronger execution and financial control, with key hires including a world-class CFO (formerly of Tru Fru, acquired by Mars) and a new Head of eCommerce from The Farmer’s Dog. A renewed focus on customer obsession drove both revenue and profit growth in Q2, as the team works toward breakeven by year-end. Looking ahead, Sundays is actively shaping its retail strategy – including exploring options in brick & mortar, Amazon, and Chewy – and has hired a banker as the company begins to explore M&A opportunities.			
Other Investors Avenir  RED SEA VENTURES				

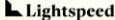
Priority Company Updates (cont.)

Company	Overview		Initial Investment Date	% Ownership
WESTMAN ATELIER	WESTMAN ATELIER is luxury, clean beauty founded by world-renowned makeup artist Gucci Westman.		December 2020	8%
	Cash Runway 4+ quarters	Profitability Profile Profitable	Revenue Scale \$50M - \$99M	YoY % Revenue Growth +19% (Q2)
Board Seat	Q2 2025 Updates			
Nick Brown	WESTMAN ATELIER posted a solid quarter, with revenue up 19% year over year and on plan. YTD revenue is up 23%, with EBITDA margin up 6 pts year over year. Growth was fueled by Q2's robust product launch slate, including Sun Tone Bronzing Drops, Split Pan Duos, Lipstick Extensions, and the Eye Activator serum. These launches helped Westman outperform makeup categories at key retailers like Sephora and Nordstrom. In response to tariffs, the team has shifted more inventory to its EU 3PL and is exploring cost-saving measures across vendors, logistics, and brush assembly. M&A efforts remain active, with an acquisition targeted within the next year.			
Other Investors				
PRELUDE GROWTH PARTNERS				

Additional Portfolio Company Profiles

Company	Overview	Initial Investment Date	% Ownership
 AMI COLÉ	AMI COLÉ is a clean beauty brand designed to celebrate melanin-rich skin. The company formulates its products with skin-nourishing ingredients from Senegal, West Africa. Ami Colé sells a variety of color cosmetics products.	July 2020	22%
		Board Seat N/A	Other Investors True Beauty Ventures
Company	Overview	Initial Investment Date	% Ownership
 DUOS	DUOS is a technology business that helps older adults age gracefully while maintaining independence much later into their lives. The DUOS product provides a tech-enabled personal assistant to help seniors manage daily tasks.	December 2021	7%
		Board Seat Kelly Dill	Other Investors FORERUNNER
Company	Overview	Initial Investment Date	% Ownership
 EON	EON is a technology company enabling Digital IDs for retail brands, allowing products to become interactive, intelligent, and profitable assets. EON's software enables brands to create and manage digital identities throughout products' lifecycles.	January 2022	15%
		Board Seat Natalie Massenet	Other Investors  Commerce Ventures
Company	Overview	Initial Investment Date	% Ownership
 GRIN	GRIN is a SaaS business providing a CRM and end-to-end suite of tools for eCommerce brands managing influencer marketing campaigns and workflows. Grin offers a fully end-to-end solution for influencer campaign management.	May 2021	3%
		Board Seat N/A	Other Investors  LONE PINE CAPITAL 
Company	Overview	Initial Investment Date	% Ownership
 Safely	SAFELY, founded by Kris Jenner and Emma Grede, is a modern home cleaning company, offering a line of elevated and aspirational soaps and detergents with clean ingredients and sophisticated and highly gratifying scent profiles.	November 2020	15%
		Board Seat Nick Brown	Other Investors  ALLIANCE CONSUMER GROWTH
Company	Overview	Initial Investment Date	% Ownership
 SHIFTsmart	SHIFTSMART is a labor network powering the modern workforce at enterprise companies. Shiftsmart connects customers such as Apple, AirBnB, and Subway, among others, to a network of over 400,000 shift workers in 50+ countries.	November 2021	2%
		Board Seat N/A	Other Investors

Additional Portfolio Company Profiles (cont.)

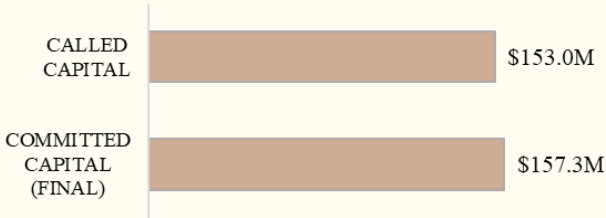
Company	Overview	Initial Investment Date	% Ownership
	STRIPE is a fintech and payments business that provides the economic infrastructure for the internet. Its software and APIs allow millions of companies of all sizes to accept payments and send payouts.	March 2021	<1%
		Board Seat	Other Investors
		N/A	 

Follow-On Investments & Valuation Updates

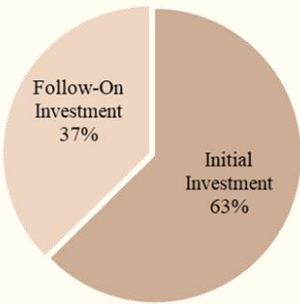
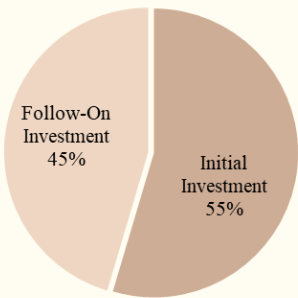
Bread, Inc. – The Company completed an asset sale with no proceeds expected to be returned to shareholders. As such the Fund has written the investment down to \$0.

Portfolio Update

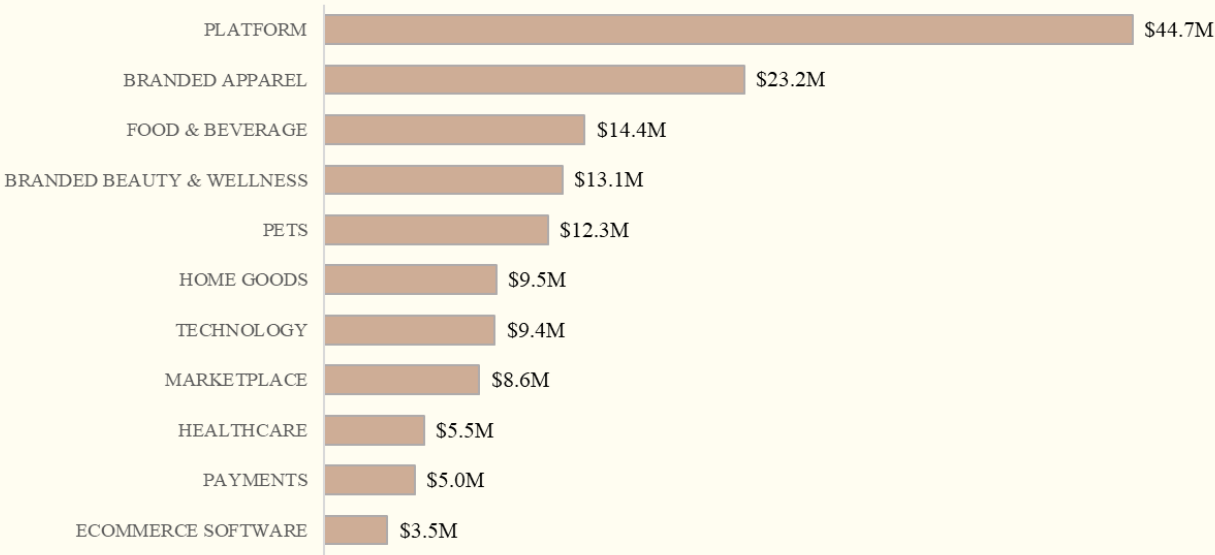
Called vs. Committed Capital



Capital Invested in Initial Rounds vs. Follow-On



Invested Capital by Sector



Portfolio Update (cont.)

Portfolio Summary

Imaginary II Portfolio Update

6/30/2025



Total Called Capital
\$157,250,000

Total Invested Capital
\$149,199,779

Fair Market Value
\$290,265,537

Total Realized Gain
\$10,424,415

Total Unrealized Gain
\$130,641,342

Gross Multiple
1.9x

Portfolio Company	Date of First Investment	FD%	Cost	% of Fund Invested	FMV	Realized Gain / (Loss)	Unrealized Gain / (Loss)	Multiple
Imaginary II Core Investments								
Bread	2/19/2020	17%	\$ 1,849,918	1%	\$ -	\$ -	\$ (1,849,918)	-
Goodfair	6/12/2020	16%	\$ 2,549,999	2%	\$ -	\$ (2,549,999)	\$ -	-
Ami Cole	7/31/2020	22%	\$ 1,850,000	1%	\$ 1,918,081	\$ 68,082	\$ -	1.0x
Nuggets (Simulate)	8/7/2020	4%	\$ 3,306,060	2%	\$ -	\$ -	\$ (3,306,060)	-
Safely	9/3/2020	15%	\$ 9,491,257	6%	\$ 9,491,257	\$ -	\$ -	1.0x
Pepper (Pomegranate Tech)	11/13/2020	10%	\$ 9,949,996	7%	\$ 13,646,161	\$ -	\$ 3,696,165	1.4x
Westman Atelier	12/8/2020	7%	\$ 9,449,981	6%	\$ 26,044,353	\$ -	\$ 16,594,372	2.8x
Lightspeed (fka NuORDER)	1/13/2021	5%	\$ 10,027,462	7%	\$ 16,934,902	\$ 6,907,440	\$ -	1.7x
10Beauty	2/26/2021	13%	\$ 9,399,996	6%	\$ 13,466,158	\$ -	\$ 4,066,162	1.4x
Brady Brand	4/28/2021	17%	\$ 9,500,001	6%	\$ -	\$ (9,500,001)	\$ -	-
Sundays	6/25/2021	13%	\$ 12,349,997	8%	\$ 28,131,160	\$ -	\$ 15,781,163	2.3x
Builder	7/29/2021	5%	\$ 3,462,500	2%	\$ 3,462,500	\$ -	\$ -	1.0x
Duos	12/15/2021	7%	\$ 5,499,999	4%	\$ 5,499,999	\$ -	\$ -	1.0x
EON	1/24/2022	15%	\$ 6,499,927	4%	\$ 4,874,948	\$ -	\$ (1,624,979)	0.8x
Milá	1/27/2022	13%	\$ 11,075,032	7%	\$ 20,994,329	\$ -	\$ 9,919,297	1.9x
Total Core Investments			\$ 106,262,123	71%	\$ 144,463,849	\$ (5,074,477)	\$ 43,276,202	
Imaginary II Strategic Investments								
Skims	3/16/2020		\$ 13,708,264	9%	\$ 126,000,430	\$ 21,522,282	\$ 90,769,884	9.2x
Stripe	3/19/2021		\$ 5,000,016	3%	\$ 3,428,049	\$ -	\$ (1,571,968)	0.7x
Grin	5/5/2021		\$ 11,700,045	8%	\$ 9,741,237	\$ -	\$ (1,958,809)	0.8x
Shiftsmart	11/12/2021		\$ 6,505,940	4%	\$ 6,631,973	\$ -	\$ 126,033	1.0x
Foxtrot	11/19/2021		\$ 6,023,390	4%	\$ -	\$ (6,023,390)	\$ -	-
Total Strategic Investments			\$ 42,937,655	29%	\$ 145,801,689	\$ 15,498,892	\$ 87,365,140	
TOTAL			\$ 149,199,779	100%	\$ 290,265,537	\$ 10,424,415	\$ 130,641,342	1.9x

FMV as reported above includes realized gains & losses, as well as interest and dividends, if applicable, and as a result may differ from the U.S. GAAP financial statements